

UNIT 3 · TOPIC 3.12

Compliance with International Fare Rules

Playing by the global rulebook.

B.B.A. Aviation Management · Semester III · Unit 3: Fare Construction (Advanced)
Air Ticketing & Fare Construction (2ACBAM32) · Arun Kumar



TOPIC 3.12

Expedition Preview: Topic Intro



The graphic features a dark teal background with a faint world map. On the left, a white play button icon is centered. To its right is a circular compass rose with 'N', 'S', 'E', and 'W' markers. The text 'TOPIC 3.12' is written in the center of the compass. Above the play button, the text 'UNIT 3 · TOPIC 3.12' and 'FARE CONSTRUCTION (ADVANCED)' are displayed. Below the play button, the main title 'Compliance with International Fare Rules' is written in large white letters, followed by the subtitle 'Playing by the global rulebook.' At the bottom left, a horizontal line with a red arrow points to the right, with the text 'AIR TICKETING & FARE CONSTRUCTION · UNIT 3 · TOPIC 3.12' above it.

UNIT 3 · TOPIC 3.12

FARE CONSTRUCTION (ADVANCED)

Compliance with International Fare Rules

Playing by the global rulebook.

AIR TICKETING & FARE CONSTRUCTION · UNIT 3 · TOPIC 3.12

Air Ticketing & Fare Construction · Unit 3: Fare Construction (Advanced) · Topic 3.12

02

TOPIC 3.12

Navigator's Question



THINK ABOUT IT

What happens to a travel agent who issues a ticket at the wrong price?

**THINK**

30 seconds alone

**PAIR**

1 minute with a neighbour

**SHARE**

2–3 answers with the class



TOPIC 3.12

Route Map for Today

1

3.12.1

Overview of regulations governing fare rules (IATA, ATPCO, governments)

2

3.12.2

Importance of compliance: avoiding penalties and errors

3

3.12.3

Role of IATA in setting standards for fare rules and pricing

4

3.12.4

Compliance with international fare rules in practice



COURSE OBJECTIVES

- Identify bodies governing fares
- Explain consequences of non-compliance
- Describe IATA's role (resolutions, BSP, ADMs)
- Apply a compliance checklist

Pedagogy: Lecture-Based Teaching–Learning



TOPIC 3.12.1

Who Governs Fare Rules?



IATA

Resolutions on fare construction, ticketing, agency conduct and settlement.



ATPCO

Standard format for filing fares and rules; airlines own the content.



Governments

Consumer protection, competition law, taxes (e.g., DGCA, US DOT, EU).



TOPIC 3.12.1

Key Rule Sources



IATA Resolutions

Passenger conference resolutions (e.g., fare construction, ticketing).



Fare Rules

ATPCO categories filed by each airline.



Conditions of Carriage

Airline contract terms with passengers.



National Law

DGCA CARs, consumer laws, tax law.



TOPIC 3.12.2

Why Compliance Matters

**ADMs**

Airlines bill agents for wrong fares, taxes or rule breaches.

**Accreditation risk**

Repeated issues can threaten IATA accreditation.

**Customer trust**

Correct pricing avoids disputes and complaints.

**COMMON ADM CAUSES**

Wrong fare basis, booking class mismatch, missing taxes, fare rule breaches, duplicate or fictitious bookings (churning), and unauthorised commissions.



TOPIC 3.12.2

Anatomy of an ADM

What an agent receives when something goes wrong.

- Issued by the airline via BSP.
- States ticket, reason and amount.
- Agent may dispute within the allowed window.
- Prevention is cheaper than disputes.

AGENCY DEBIT MEMO (illustrative)

```
ADM NO    1234567
TICKET    098-2412345678
REASON    FARE RULE CAT 5
          AP NOT MET
AMOUNT    INR 6,800
+ ADMIN FEE INR 1,500
```

// invented example

TOPIC 3.12.3

IATA's Role in Fare Compliance



TOPIC 3.12.3

IATA Fares & Ticketing Standards

NUC/ROE

common currency system

MPM/TPM

mileage system

BSPsettlement in 170+ countries/territories
(approx.)

IATA Fares and Ticketing courses (Foundation / Intermediate) are valued certifications for careers in ticketing.



TOPIC 3.12.4

Compliance Checklist Before Ticketing

Check	Question
Fare & RBD	Is the seat booked in the class required by the fare?
Rules	Are AP, stay, day, season and stopover rules met?
Construction	Mileage, HIP, BHC, CTM correctly applied?
Taxes	All applicable taxes collected in the right currency?
Documents	Name matches ID; eligibility proof for special fares?

TOPIC 3.12.4

Compliant vs Non-Compliant Booking



Compliant

- Booked in Q, priced Q fare
- 14-day AP met
- Taxes auto-applied
- Ticketed on time

vs



Non-Compliant

- Booked in Q, priced cheaper V fare
- AP rule ignored
- Tax manually removed
- Duplicate bookings held



TOPIC 3.12

Navigation Exercise: Compliance Audit



PEDAGOGY

Lecture-Based Teaching-Learning

TIME · 8 min

FORMAT · Whole class

1 Instructor shows 4 ticket summaries on screen.

2 Class uses the checklist to find non-compliance.

3 Name the likely ADM reason for each error.

4 Agree one habit that would have prevented it.

TOPIC 3.12

[Click to reveal each answer](#)

Position Check Quiz

Q1

An airline's bill to an agent for a pricing error is an...

- A) ADM
- B) ACM
- C) EMD
- D) SSR

ANSWER

A**Q2**

IATA's settlement system for agents is...

- A) ATPCO
- B) BSP
- C) NDC
- D) GDS

ANSWER

B**Q3**

Who owns the fare content filed in ATPCO?

- A) IATA
- B) Airlines
- C) Agents
- D) DGCA

ANSWER

B**Q4**

Booking in V class but pricing a Q fare is...

- A) Compliant
- B) A class mismatch
- C) A discount
- D) Required

ANSWER

B

DESTINATION REACHED

Key Takeaways

- ✓ IATA, ATPCO and governments together govern fare rules
- ✓ Non-compliance leads to ADMs and accreditation risk
- ✓ IATA provides standards, BSP, agency programme and training
- ✓ Use a checklist before every ticket

EXIT TICKET Write 1 thing you learned today + 1 question you still have.

NEXT WAYPOINT

Unit 4 — Ticket Issuance and Modifications

Thank you · Questions?